

SYNAPSE

A High-Conviction ESG Growth Portfolio

The Sustainable Future, Owned.

by **BlackRock®**



Caelan

Age 3

THE QUESTION

By 2045, Caelan will be 22.

His world will run on AI.

His grid will be clean.

His grandmother will be alive —

because of medicine that doesn't exist today.

Who owns the companies building Caelan's world?

We do.

01 · WHO WE ARE

BlackRock does not follow markets.
We shape them.

\$14 T

ASSETS UNDER MANAGEMENT

#1

GLOBAL ASSET MANAGER

LEADER

SUSTAINABLE CAPITAL
STEWARDSHIP

OUR VALUES

01 Client First

Our clients' long term financial well-being comes before short term gains for the firm.

02 Emphasis on Performance

We are passionate about delivering investment performance and continuous improvements for clients.

03 Building a Better Future

We are committed to make a better, more sustainable world for future generations.

Sustainability is not a solar panel on a rooftop.
It is the system that carries 10 billion people forward on one planet.

01**HEALTHCARE INNOVATION**

**Gene therapy. Robotic surgery.
Metabolic breakthroughs.**

Disruptive technologies that will reshape the industry.

02**UNDERLYING
INFRASTRUCTURE**

**Every nanometer of chip progress
saves orders of magnitude of
energy.**

*The most under-appreciated environmental
technology of our era.*

03**CLEAN &
SUSTAINABLE ENERGY**

**AI will consume Japan's entire
electricity output by 2030.**

The grid must be rebuilt. It will be.

We're not waiting for this future. We own it.

Three Targets. One Portfolio. Aligned Demand.

01

THE CONSCIOUS ACCUMULATOR

Age 20–40

Millennial & Gen Z professionals. Earning well, saving hard, done with compromise.

\$30T**WEALTH TRANSFER / 20 YRS***"Returns with integrity. Transparency without excuse."***02**

THE PURPOSE-DRIVEN FAMILY

Age 30+

Parents/Grandparents. Long horizon. One allocation they can trust and explain in one sentence.

"Our kids' future."**ONE PORTFOLIO, ONE PAGE***"We own the companies building the future our kids will live in."***03**

THE ESG-MANDATED INSTITUTION

Corporate · Pension · Endowment

Sustainability mandates written into investment policy statements. Board accountability.

\$50T**GLOBAL ESG AUM BY 2030***"The product they pitch upward — not apologize for."*

Three Pillars. Twelve Companies. One Thesis.

ENERGY				SEMICONDUCTORS				HEALTHCARE			
22%				36%				36%			
The World				The AI Build-Out				The Human Body			
ORA	Ormat	8%		ASML	ASML Holding	10%		LLY	Eli Lilly	10%	
IBDRY	Iberdrola	7%		LRCX	Lam Research	10%		VRTX	Vertex Pharma	10%	
BEPC	Brookfield Renew.	7%		AMAT	Applied Materials	10%		MRK	Merck	8%	
				NXPI	NXP Semi	6%		SYK	Stryker	8%	
STRATEGIC ANCHOR				FNV				Franco-Nevada · Royalty model, zero operational footprint			
								6%			

Three years. Backtested. Decisively outperformed.

3-YEAR CUMULATIVE

107.9%

vs S&P 500: 79.98%

3-YEAR ANNUALIZED

27.62%

vs S&P 500: 21.64%

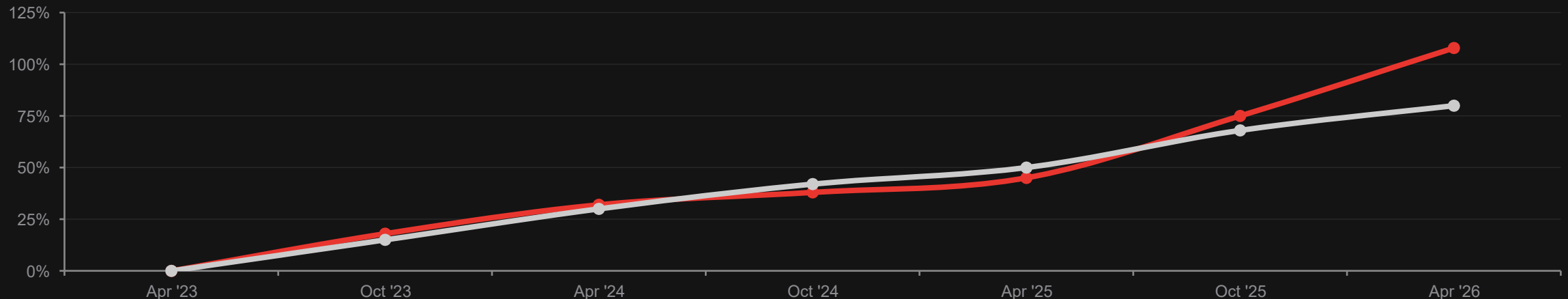
CUMULATIVE OUTPERFORMANCE

+27.9 pp

Over 3-year backtest

CUMULATIVE TOTAL RETURN — 3-YEAR BACKTEST (APR '23 — APR '26)

—●— SYNAPSE —●— S&P 500



Three years of through-cycle conviction.

2023

THESIS VALIDATED

+33.60%

vs S&P 500: +26.29%

ESG infrastructure thesis began compounding. Semiconductors rallied.

2024

DISCIPLINE HELD

+4.35%

Narrow mega-cap AI rally

Seven AI names drove 60% of S&P's gain. We don't own them. Conviction held.

2025

CONVICTION PAID

+49.21%

vs S&P 500: +19.00%

Infrastructure cycle re-accelerated. ASML, Lam, AMAT led. +30 pp outperformance.

3 - YEAR BACKTEST		
PERIOD	SYNAPSE	S & P 500
3Y Cum.	107.9%	79.98%
3Y Ann.	27.62%	21.64%
1Y	67.99%	36.67%
6M	27.14%	7.19%
YTD	14.58%	6.90%

Institutional-grade alpha. With disciplined risk.

ALPHA (3Y)

8.09

Excess return vs benchmark

SHARPE (3Y)

1.20

Institutional-grade

BETA (3Y)

0.97

Below market, alpha-driven

SORTINO (3Y)

2.24

Elite downside control

UPSIDE / DOWNSIDE CAPTURE (3Y)

124.5%

UPSIDE CAPTURE

100.9%

DOWNSIDE CAPTURE

Captured 24% more market upside**than downside · 3Y capture ratio 1.23***Consistent asymmetric exposure across the full backtest.*

MAX DRAWDOWN (3Y)

-23.53%

Contained drawdown · Ann. Std. Dev. 17.75% · VaR 6.68%

PORTFOLIO DIVERSIFICATION

Three uncorrelated demand cycles.

Healthcare — demographics. Semis — compute demand.

Renewables — energy transition. Drawdowns don't cascade.

Crisis navigated. Diversification proved.

WIN

2025 TARIFF DRAWDOWN & RECOVERY

Jan 2025 — Dec 2025 · Within 3-year backtest

SYNAPSE

+49.21%

S&P 500

+17.88%

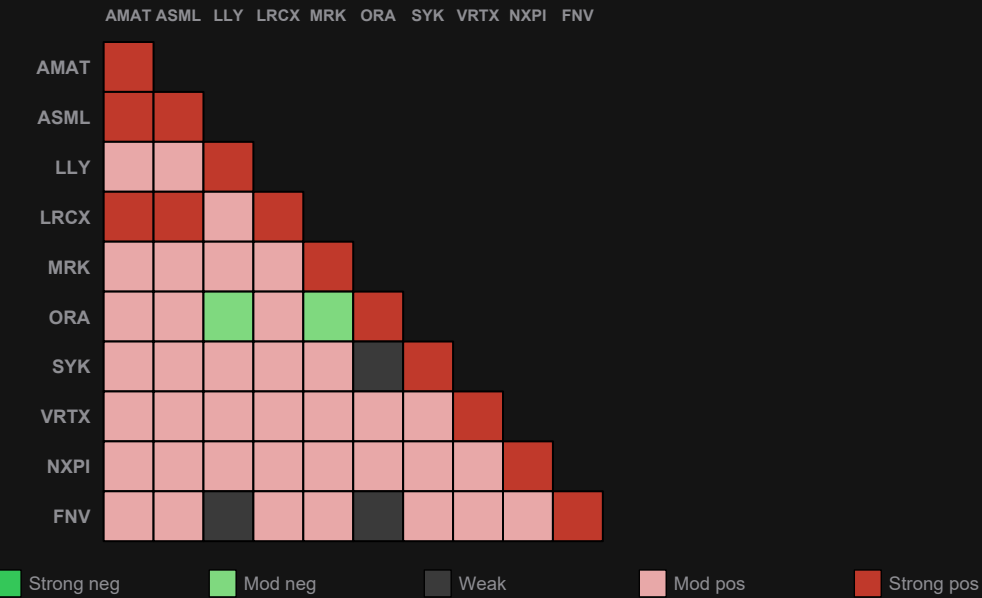
OUTPERFORMANCE

+31.3 pp

AI infrastructure cycle re-accelerated. Renewables financed the re-shoring wave. Healthcare compounded through the noise.

3-YEAR HOLDING CORRELATIONS

Three uncorrelated demand cycles.



Healthcare · Semis · Renewables — drawdowns don't cascade across pillars.

ASML

ASML Holding

THE MOAT & THE FORWARD BOOK

- Sole EUV producer · 100% share at 2nm and below
- 2025 revenue €32.7B · 2026 guidance €34–39B
- SK Hynix: \$8B for 30 EUV systems by 2027
- Samsung: \$4B for 20 systems at Pyeongtaek P5
- High-NA ramps H2 2026 · 1.7× resolution

THE NUMBERS

Order backlog (into 2027)	€38.8B
Gross margin	51–53%
Buyback through 2028	€12B
MSCI ESG rating	AAA

No ASML, no advanced chips. No advanced chips, no AI.

LLY

Eli Lilly & Co

THE FRANCHISE & THE PIPELINE

- Mounjaro + Zepbound = 60% of weight-loss market
- \$2.75B Insilico AI deal (Mar 2026) · global rights
- \$1B India manufacturing hub · global export
- Orforglipron FDA Q2 2026 · first oral GLP-1
- Retatrutide: 71.2 lbs in Phase 3 · 6 readouts 2026

THE NUMBERS

2025 revenue	\$65.2B
2026 guidance	\$80–83B
Orforglipron TAM 2031	\$16B
Retatrutide TAM 2031	\$30B

One billion people with preventable disease. One company building the answer.

IBDRY

Iberdrola

THE GRID, REIMAGINED

- World's largest renewable utility · 44,000+ MW
- €2B Echelon JV · largest utility-DC deal in Europe
- Madrid Sur: 144 MW hyperscale · 5,000 MW pipeline
- Microsoft 150 MW PPA · Amazon agreements active
- Takes up to 20% equity in enabled data centers

THE NUMBERS

2024–2026 capex plan	€41B
Capacity target 2028	60 GW
2028 EBITDA target	€18B
MSCI ESG rating	AAA

Not a bet on the energy transition. The company leading it.

Sustainability isn't a label. It's a score.

INDUSTRY-ADJUSTED ESG SCORE

8.68 / 10

Upper-tier sustainable growth strategy.

Above MSCI World Healthcare benchmark.

ENVIRONMENTAL

6.15 / 10

Renewables leadership, clean semi footprint

SOCIAL

6.65 / 10

Healthcare access, equity through VRTX

GOVERNANCE

6.88 / 10

100% independent boards, female representation

83%

ESG LEADERS

10 of 12 holdings

17%

INDUSTRY AVG

2 of 12 holdings

0%

ESG LAGGARDS

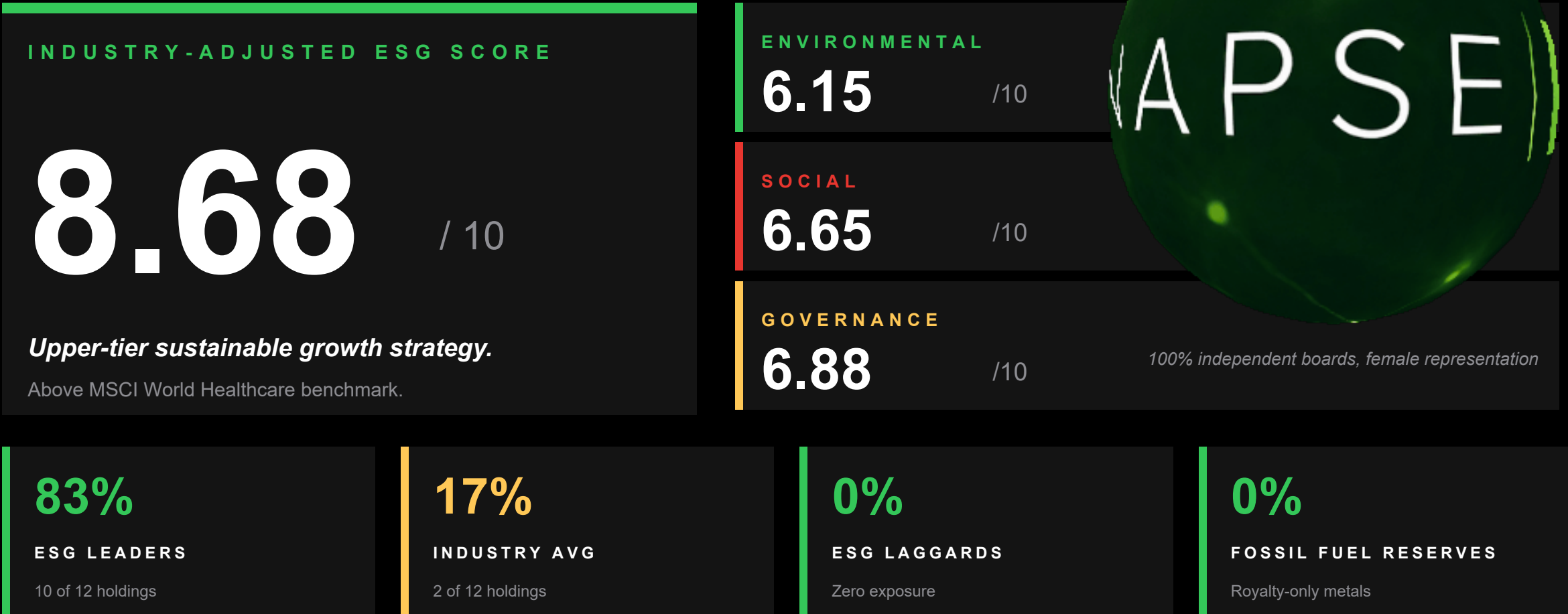
Zero exposure

0%

FOSSIL FUEL RESERVES

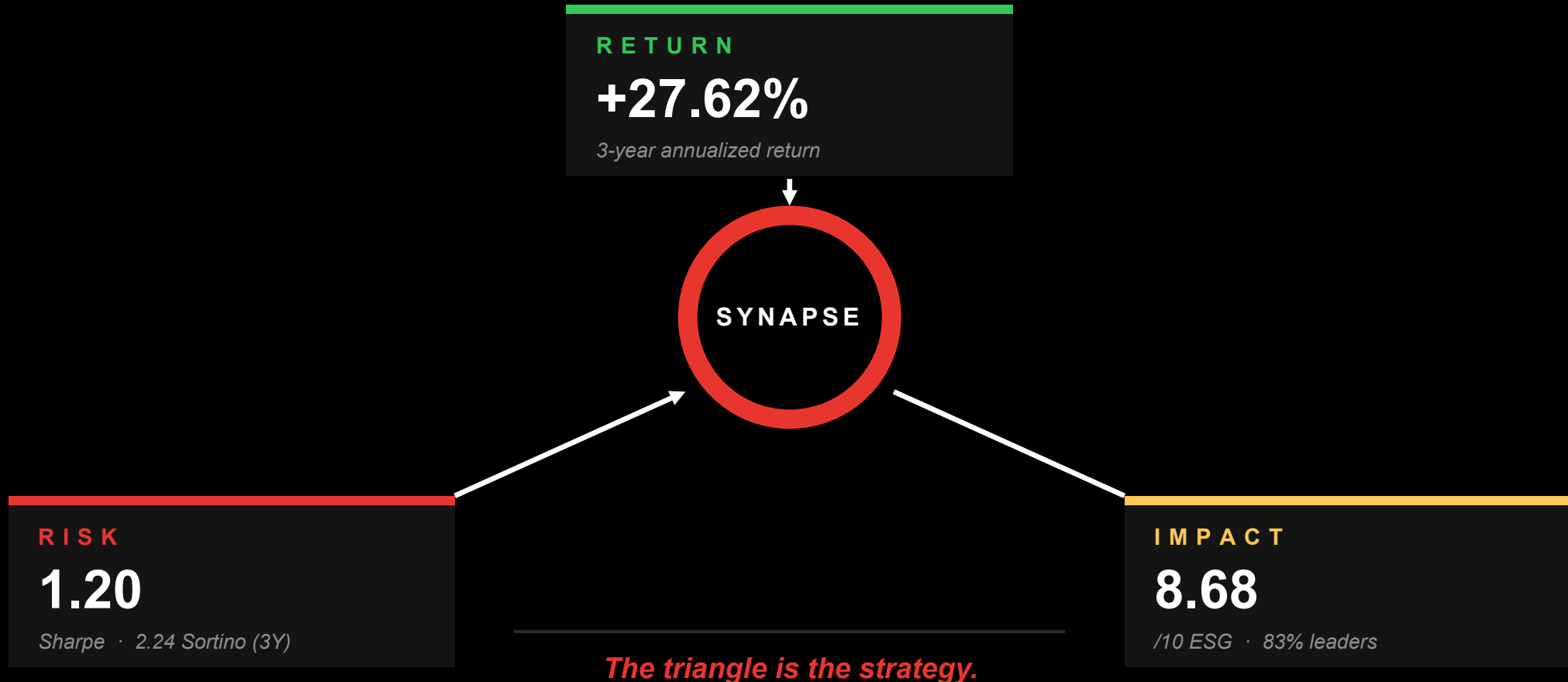
Royalty-only metals

Sustainability isn't a label. It's a score.



09 · THE FRAMEWORK

Traditional portfolios optimize two dimensions.
SYNAPSE optimizes three.



Hundreds of ESG funds exist. **SYNAPSE replaces them.**

01 Proven Outperformance

107.9% vs 79.98% S&P 500 over 3-year backtest. Alpha 8.09. Sharpe 1.20. This isn't theory — it's the track record.

02 Asymmetric Risk Capture

124.5% upside, 100.9% downside capture (3Y). Stress-tested through the 2025 tariff drawdown: +49% vs +18%.

03 Concentration with Conviction

Twelve companies. Not two hundred. Infrastructure thesis — we own what NVIDIA depends on.

04 BlackRock's Platform

\$14T AUM. Aladdin risk analytics. Industry-leading ESG research. No boutique competes.

Build Caelan's world with us.

This is not a trade.

It is a position on where civilization is going.

BlackRock SYNAPSE · The Sustainable Future, Owned.



AI Tools

AI-augmented research workflow

TOOLS USED & HOW

- Claude (Anthropic): thesis development, deep-dive research synthesis, script & deck refinement
- Fiscal.ai: AI-powered fundamental analysis, KPI tracking, earnings transcripts, peer comparisons
- YCharts: 3-year backtest, performance analytics, risk metrics (Sharpe, Sortino, alpha, beta)
- MSCI ESG Ratings: per-company sustainability ratings (AAA–CCC scale), industry-adjusted scoring
- Bloomberg, Reuters, FT, SEC filings: news verification, company announcements, primary disclosures

METHODOLOGY

Holdings **12 names**

Backtest **3 years**

Weighting **Conviction**

Rebalancing **Quarterly**

AI augmented our research. Human judgment drove every weighting and selection decision.

ESG Detail

MSCI ESG ratings, all 12 holdings

RATINGS BY PILLAR

- Healing: LLY (A) · VRTX (AA) · MRK (A) · SYK (AA)
- Infrastructure: ASML (AAA) · LRCX (AAA) · AMAT (AA) · NXPI (AAA)
- Powering: IBDRY (AAA) · BEPC (AA) · ORA (Sustainalytics: Low Risk)
- Strategic anchor: FNV (AA)
- Coverage: 11 of 12 holdings rated by MSCI · 100% rated by either MSCI or Sustainalytics

SUMMARY

AAA-rated holdings 5 of 12

AA-rated holdings 5 of 12

Leaders (AAA + AA) 10 of 12 (83%)

Laggards (B/CCC) Zero

10 of 12 holdings rated MSCI ESG Leaders. Zero laggards. Industry-adjusted.

References

Sources & citations

PRIMARY SOURCES

- Company filings: ASML, Eli Lilly, Iberdrola Q4 2025 & Q1 2026 earnings reports
- Strategic announcements: Lilly–Insilico deal (Mar 2026), Iberdrola–Echelon JV (2025)
- Industry research: Clarivate Drugs to Watch 2026, Bloomberg, Reuters, FT
- ESG ratings: MSCI, Sustainalytics, S&P Global ESG (industry-adjusted scores)
- Market data: YCharts, Bloomberg Terminal, S&P 500 returns (Apr 2023–Apr 2026)

METHODOLOGY

Backtest window	3-year backtest
Benchmark	S&P 500 (TR)
Weighting	Conviction
Rebalancing	Quarterly

References

Full citations (APA)

FINANCIAL DATA & COMPANY FILINGS

- YCharts. (2026). Historical price and total return data, April 2023–April 2026 [Data set]. ycharts.com
- Fiscal.ai. (2026). Company fundamentals and financial statements [Data set]. fiscal.ai
- ASML Holding N.V. (2026). Q4 2025 results and 2026 outlook [Press release]. asml.com
- Eli Lilly & Co. (2026). Q4 2025 earnings and Insilico Medicine licensing agreement [Press release]. lilly.com
- Iberdrola, S.A. (2025). Strategic Plan 2025–2028 and Echelon Data Centres JV [Corporate report]. iberdrola.com

ESG & INDEX

ESG ratings

MSCI

Pharma pipeline

Clarivate

Index data

S&P Dow Jones

News & analysis

Bloomberg,
Reuters, FT